Bloomberg (headline only) · 9 Nov 2026
HSC Economics news explainer · 10 November 2026

China extends its US tariff truce by two months

Bloomberg reports that China has extended its pause on US tariffs and trade curbs for another two months. **This article is paywalled, so this page uses only the headline and web address**, plus background from the original truce in 2025.

WHAT HAPPENED

- **The news (headline only):** China has extended its pause on US tariffs and trade curbs for two months.
- The article's web address indicates that the **extra 24% tariff** on US goods stays suspended until January and the **10% rate** stays in place.
- **Background:** in November 2025, China suspended the extra 24% tariff for one year from 10 November 2025, keeping a 10% tariff on US goods (AFP).
- At the same time, the US cut its extra tariff on Chinese goods from 20% to 10%, and China lifted some tariffs on US farm goods such as soybeans.
- A two-month extension avoids a tariff jump for now but leaves traders with a short planning horizon.

24%
extra tariff on US goods, still suspended

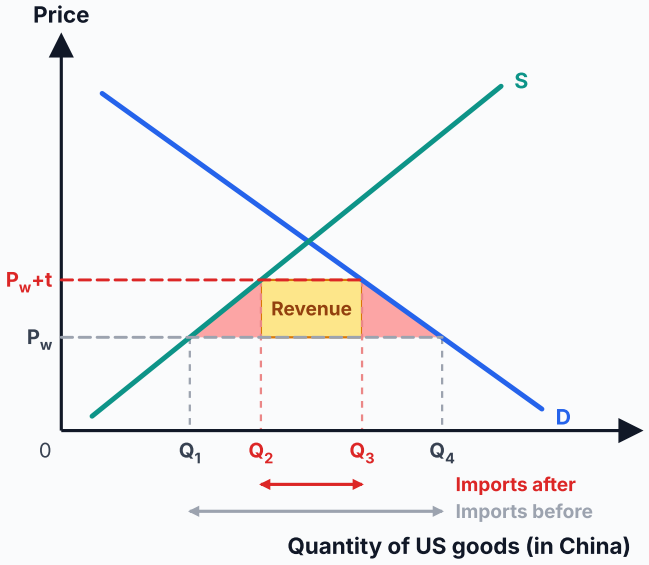
10%
tariff on US goods that stays in place

2 months
length of the extension, to January

Tariff: a tax on imported goods that raises their domestic price

Trade truce: a temporary agreement to pause new or higher trade barriers

DIAGRAM — What the truce avoids: a higher tariff on US imports



A tariff lifts the domestic price of US goods in China from **P_w to P_w+t**.

Domestic output rises (Q_1 to Q_2), consumption falls (Q_4 to Q_3) and imports shrink. The government gains revenue (yellow) but there are **deadweight losses** (red). If the truce lapsed, the tariff would rise and these effects would grow.

Exam angle: this is a conceptual diagram, not drawn to scale. The extension keeps China's tariff at the lower 10% rate.

FLOW CHART — Why a short extension still matters

Truce extended to January → Tariff stays at 10%, not higher → US–China trade keeps flowing → But only a 2-month horizon → **Uncertainty for trade and investment**

Note: Paywalled: if you paste or upload the full Bloomberg article, this page can be rewritten with its details.

SYLLABUS LINK

Topic 1: protectionism and its effects; trade relations between major economies (US and China).

TRY THIS (4 MARKS)

Using a tariff diagram, explain the effects of a tariff on domestic consumers, domestic producers and government revenue.

Read more: Bloomberg, 9 Nov (paywalled) · Gulf News/AFP, 5 Nov 2025 (background)

Diagrams are illustrative, not to scale